

- **Current Account:** Current Account refers to a type of non-interest bearing deposit account made with a bank for an unspecified period of time and the depositor can withdraw or transfer the funds whenever required through different means. This is a must for any business house to facilitate day to day business transactions as the number of transactions is not capped.
- **Loan Account:** This is an account through which customer can repay a bank loan. Loan is a money provided by bank to the customer at a predetermined interest rate for a predetermined period. Loan Account can be opened for both personal or business loan.

Over the years, to meet the growing customer needs, the above mentioned account types have been customised. Recurring Deposit, EMI, Cash Credit, Overdraft Account, Salary Account, Credit Card etc are nothing but the sub set of above mentioned accounts. There are various other financial instruments offered by the bank to facilitate the customer need.

Paperwork in Banking

Now coming to this discussion on paperwork involved in banking for a business house. First of all, starting a business itself has lot of challenges with regard to paperwork to be done. It starts from the day you get a business idea and ends at..., actually it never ends. Practically speaking, the paperwork for a business house to enter a banking channel is dependent on the type of business enterprise. We will discuss about the purpose of the paperwork, different types of business enterprise and some common paper work across all the business enterprise.

The reason for the extensive paperwork is to adhere to the Know Your Customer (“KYC”) norms. KYC is the process of a business identifying and verifying the identity of its clients. The objectives of KYC guidelines is to prevent banks from being used, intentionally or unintentionally, by criminal elements for money laundering activities. Related procedures also enable



KYC enables a bank to protect its services from being availed for criminal purposes.